NOTE 9 – FINANCIAL ITEMS

USDm	2019	2018	2017
Financial income			
Interest income from cash and cash equivalents, including restricted cash [1]	2.5	2.7	1.6
Exchange rate adjustments, including gain from forward exchange rate contracts	0.3	0.6	2.7
Total	**2.8**	**3.3**	**4.3**
Financial expenses			
Interest expenses on mortgage and bank debt [1]	39.3	35.7	33.3
Exchange rate adjustments, including loss from forward exchange rate contracts	0.2	0.1	3.2
Commitment fee	1.9	2.6	2.4
Other financial expenses	0.5	0.9	1.7
Total	**41.9**	**39.3**	**40.6**
Total financial items	**-39.1**	**-36.0**	**-36.3**

[1] Interest for financial assets and liabilities not at fair value through profit and loss.

NOTE 10 – FREIGHT RECEIVABLES

USDm	2019	2018	2017
Analysis as of 31 December of freight receivables:			
Gross freight receivables:			
Not yet due	39.8	44.0	25.5
Due < 30 days	22.5	18.8	26.0
Due between 30 and 180 days	25.3	20.5	18.4
Due > 180 days	6.0	4.4	2.7
Total gross	**93.6**	**87.7**	**72.6**
Allowance for expected credit loss	3.7	1.7	1.3
Total net	**89.9**	**86.0**	**71.3**

As of 31 December 2019, freight receivables included receivables at a value of USD 0.0m (2018: USD 0.0m 2017: USD 0.0m) that are individually determined to be impaired to a value of USD 0.0m (2018: USD 0.0m, 2017: USD 0.0m).

Management makes allowance for expected credit loss based on the simplified approach to provide for expected credit losses, which permits the use of the lifetime expected loss provision for all trade receivables. Expected credit loss for receivables overdue more than 180 days is 25%-100%, depending on category. Expected credit loss for receivables overdue more than one year is 100%.

Movements in provisions for impairment of freight receivables during the year are as follows:

USDm	2019	2018	2017
Allowance for expected credit loss			
Balance as of 1 January	1.7	1.3	2.6
Adjustment to prior years	1.5	-	-
Provisions for the year	2.4	1.7	0.6
Provisions reversed during the year	-1.9	-1.0	-1.9
Provisions utilized during the year	-	-0.3	-
Balance as of 31 December	**3.7**	**1.7**	**1.3**

Allowance for expected credit loss of freight receivables have been recognized in the income statement under "Port expenses, bunkers and commissions".

Allowance for expected credit loss of freight receivables is calculated using an ageing factor as well as a specific customer knowledge and is based on a provision matrix on days past due.